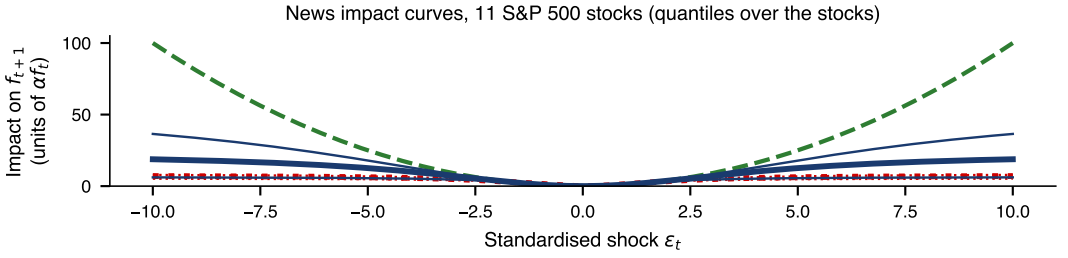
News impact curves, 11 S&P 500 stocks (quantiles over the stocks)
Impact on $f_{t+1}$ (units of $\alpha f_t$)
100
50
0
−10.0
−7.5
−5.0
−2.5
0.0
2.5
5.0
7.5
10.0
Standardised shock $\varepsilon_t$
GARCH(1,1)-t ($\zeta = 0$)
Beta-t-GARCH, $\zeta = \hat{\xi}$, median over stocks (0.158)
Beta-t-GARCH, $\zeta = \hat{\xi}$, 5% and 95% quantiles (0.139, 0.231)
QSD GARCH(1,1)-t, $\hat{\zeta}$, median over stocks (0.047)
QSD GARCH(1,1)-t, $\hat{\zeta}$, 5% and 95% quantiles (0.018, 0.188)